

THE WHITE PAPER · US EDITION

The Creator Tax Playbook.

Sixteen legal strategies high-earning creators miss — scattered across IRS publications, practitioner case studies and expensive advisors, organized in one place. With the real numbers.

For US creators earning \$250K+ · from the team at midascfo.com

You're taxed like an employee. You're run like a business. That gap is the leak.

Every established business runs three systems creators usually don't: the right **structure**, real-time **capture** of deductible spending, and a **plan** executed before December 31 — not discovered in April. Miss all three and the loss compounds annually.

WHERE A \$500K CREATOR'S MONEY GOES — TYPICAL UNPLANNED YEAR (ILLUSTRATIVE)

Earned: \$500,000

Structure leak

wrong entity → full self-employment tax

Missed deductions

production costs never documented

No plan

retirement, timing and people strategies unused

Reviews of unplanned creator returns regularly surface combined overpayment of 20–30% of the true bill.

This playbook is education, not tax advice. Every strategy is fact-specific; qualification depends on your situation, documentation and income. Implementation belongs with a licensed tax professional — which is exactly how Midas works: strategy designed with you, executed by licensed, registered professionals led by Elton Lalaj, Head of Tax.

Fix how you're taxed before chasing any deduction

SELF-EMPLOYMENT / PAYROLL TAX ON \$100K OF PROFIT — DEFAULT LLC VS S-CORP WITH A \$60K REASONABLE SALARY

Default LLC



\$14,129

S-corp



≈ \$4,600–\$9,200

Kept: roughly \$5,000–\$9,500 every year — before any other strategy

STRATEGY 01 · THE S-CORP ELECTION

Stop paying 15.3% on every dollar

A default LLC/sole prop pays self-employment tax on ~92.35% of all profit — \$14,129 on \$100K. An S-corp splits income into a reasonable salary (taxed) and distributions (no self-employment tax). The caveats matter: below ~\$50K profit the ~\$3–4K running costs can outweigh the savings, and skipping payroll entirely is the classic audit trigger.

Typical impact: \$5K–\$9.5K/yr per \$100K of profit — compounding as you grow

STRATEGY 02 · REASONABLE SALARY + QBI

Set the salary right, unlock the 20% deduction

Your salary level is a dial: too low invites the IRS, too high wastes payroll tax. Set correctly (a common benchmark: not less than ~30% of profit), it also protects the Qualified Business Income deduction — 20% off qualifying business profit.

Typical impact: the 20% QBI deduction on qualifying profit

STRATEGY 03 · AUDIT-PROFILE MANAGEMENT

Get off the most-audited return in America

Schedule C sole props are audited at multiples of the rate of S-corps and partnerships — all your income and vague deductions sit on one personal return. Structure isn't just savings; it's audit insurance.

Typical impact: lower audit exposure while claiming more, properly

STRATEGY 04 · THE RESERVE + QUARTERLY RECALIBRATION

Never meet a surprise bill again

Park 25–35% of every payout in a separate reserve the day it lands, and recalculate quarterly estimates as strategies land — so cash sits with you, not prepaid to the IRS. This is the foundation that makes

everything else executable.

Typical impact: April becomes a checkpoint, not a crisis

The money is in the documentation

STRATEGY 05 • REAL-TIME CAPTURE

Document at the moment of spend

Gear, software, editors, travel to shoots, the car rented for a video — much of creator spending is potentially deductible *if documented with a business purpose when it happens*. "A \$5,000 travel deduction" reconstructed in April looks vague to an agent; the same spend logged shoot-by-shoot survives scrutiny.

Typical impact: thousands per year your April-scramble system forfeits

STRATEGY 06 • HOME STUDIO, ACTUAL-EXPENSE METHOD

Skip the \$1,500 shortcut

The simplified method caps at \$1,500. The actual-expense method deducts your business-use percentage of real housing costs — 10% studio of a home with \$40K of annual costs = a \$4,000 deduction, plus direct studio expenses on top. Creators who film at home almost always beat the cap.

Typical impact: \$3K–\$6K+/yr vs the simplified cap

STRATEGY 07 • THE VEHICLE, DONE PROPERLY

Mileage vs actual vs depreciation — run all three

20,000 business miles $\approx$ a \$14,500 mileage deduction. Or the actual-expense method: 60% business use of \$14K of costs $\approx$ \$8,400 — plus depreciation, which most owners forget entirely. Vehicles over 6,000 lbs used predominantly for business may qualify for accelerated bonus depreciation on the purchase price. Famous for a reason; audited when the business-use log is sloppy.

Typical impact: \$8K–\$15K/yr — five figures more in year one on a qualifying vehicle

STRATEGY 08 • THE AUGUSTA RULE (§280A)

Rent your home to your business — tax-free

Up to 14 days a year, at documented market comps: shoot days, planning sessions, content summits at your place. Illustration: \$3,000/day $\times$ 10 days = \$30,000 of deductible rent to the business that lands tax-free personally. The whole game is the comps file and meeting documentation.

Typical impact: up to ~\$30K/yr tax-free, documentation-dependent

Strategies your filing-only accountant never raises

STRATEGY 09 · SOLO 401(K)

Up to ~\$70K/yr deductible — self-directed

As both employee and employer of your own business you contribute on both sides: \$23,500 employee (2025) plus employer profit-sharing to a combined ~\$70K. Deductible now, and self-directed — the account can hold stocks, real estate or other assets you choose.

Typical impact: up to ~\$70K/yr in deductions while building the exit pot

STRATEGY 10 · CHILDREN ON PAYROLL

Shift income to a 0% bracket — legally

Kids doing real, documented work (they're often literally in the content) can be paid a reasonable wage — deductible to the business, standard-deduction-sheltered to them, and it can fund their Roth.

Typical impact: ~\$13K–\$15K/yr per qualifying child

STRATEGY 11 · ACCOUNTABLE REIMBURSEMENT PLAN

Get reimbursed for what you already pay personally

A written plan lets the business reimburse home internet, phone, and personally-paid business costs — deductible to the company, tax-free to you.

Typical impact: \$5K–\$10K/yr, paperwork-only

STRATEGY 12 · HEALTH: PREMIUMS + HSA

The self-employed health stack

Self-employed health premiums are 100% deductible against business profit. Pair a qualifying high-deductible plan with an HSA — \$8,300 family contribution, triple-advantaged (deductible in, grows untaxed, tax-free out for medical).

Typical impact: ~\$10K–\$18K/yr across premiums + HSA

The six-figure tier

STRATEGY 13 · THE SHORT-TERM RENTAL LOOPHOLE

Real-estate losses without the 750 hours

The famous REPS designation demands 750+ documented hours. The short-term rental rule doesn't: an STR with average stays ≤ 7 days, materially participated in, can generate cost-segregation losses that offset *active* income — the accessible version for a full-time creator.

Typical impact: \$50K–\$100K+ of first-year losses per qualifying property

STRATEGY 14 · COST SEGREGATION + BONUS DEPRECIATION

Accelerate years of depreciation into year one

A cost-seg study splits a property into 5/7/15-year components and — with 100% bonus depreciation back — front-loads them. Published examples: \$100K–\$250K of losses landing in a single year against qualifying income.

Typical impact: six-figure paper losses, real cash-flow intact

STRATEGY 15 · §179 EQUIPMENT & CONTENT INFRASTRUCTURE

Studio build-outs, equipment, upgrades

Cameras, computers, studio renovations and qualifying equipment can be expensed immediately under §179 + bonus rules rather than depreciated over years — often the biggest single-year deduction a commerce creator controls directly.

Typical impact: immediate expensing of the studio you were building anyway

STRATEGY 16 · THE STACKED PLAN

Strategies compound — an illustrative year

Model a \$500K creator running just the foundations: S-corp election (~\$20K) + solo 401(k) (~\$25K of tax value) + vehicle (~\$10K) + Augusta (~\$20K) + home studio (~\$4K) + health stack (~\$8K) $\approx$ **\$85K+ of annual tax reduction — before the advanced tier**. In our Head of Tax's practice across 30+ creators, proactive planning has saved an average of 20–30% per year.

The point: strategies compound. Filing alone captures none of them.

THE NEXT STEP

Knowing the strategies isn't the same as **having your number.**

Which of these sixteen apply to you — and what they're worth — depends on your returns. The Audit reviews your last two years and puts it in writing: what you overpaid, what's recoverable, and what's available going forward. If it doesn't show at least twice our fee in recoverable savings, we'll tell you not to hire us — and refund it.

See if you qualify → midascfo.com/#/apply

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